PHASE 1

NBA MODEL AUDIT

THE VERDICT: GLOBAL PAUSE & RECALIBRATION

Reality: The core algorithm failed to beat the break-even threshold of 52.4% due to critical directional bias.

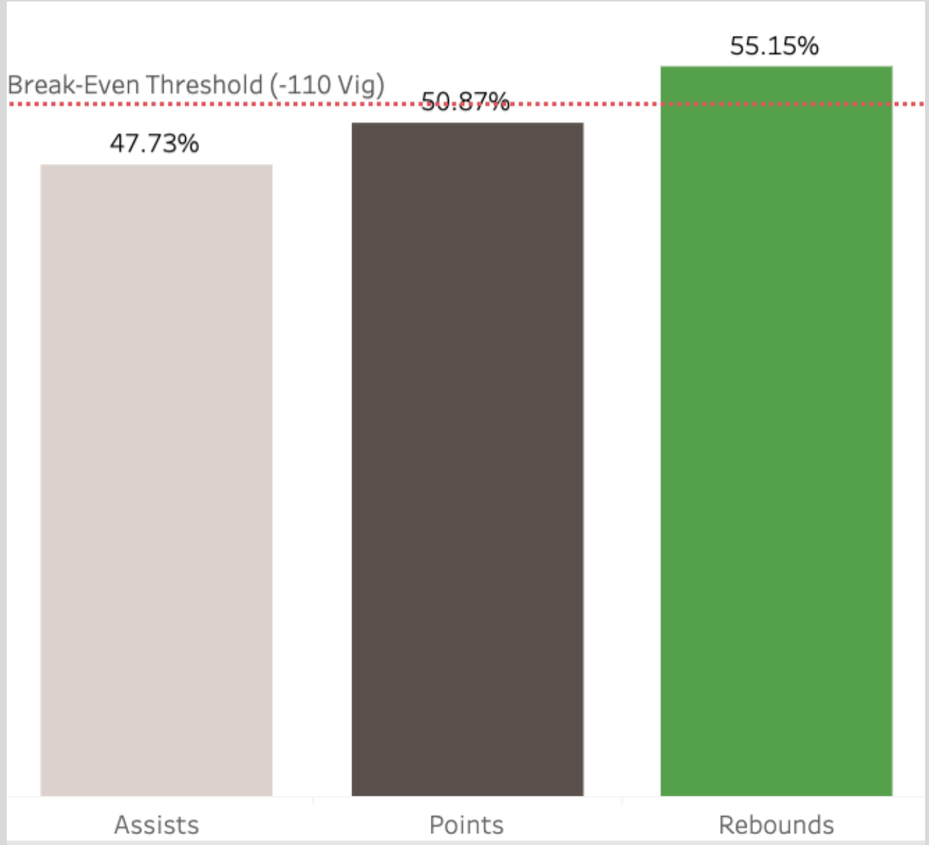
Hidden Value: Market segmentation identified a promising sub-market in **Rebounds** with a **55.15%** win rate.

Recommendation: Halt live deployment. Recalibrate all categories to fix the “More” bias, followed by an expanded 1,000-play backtest to validate the Rebounds edge before committing capital.

GATE 1: REBOUNDS CLEAR PROFITABILITY

- **Global Win Rate:** 51.64% (Failed)
- **Rebounds Win Rate:** 55.15% (Passed)

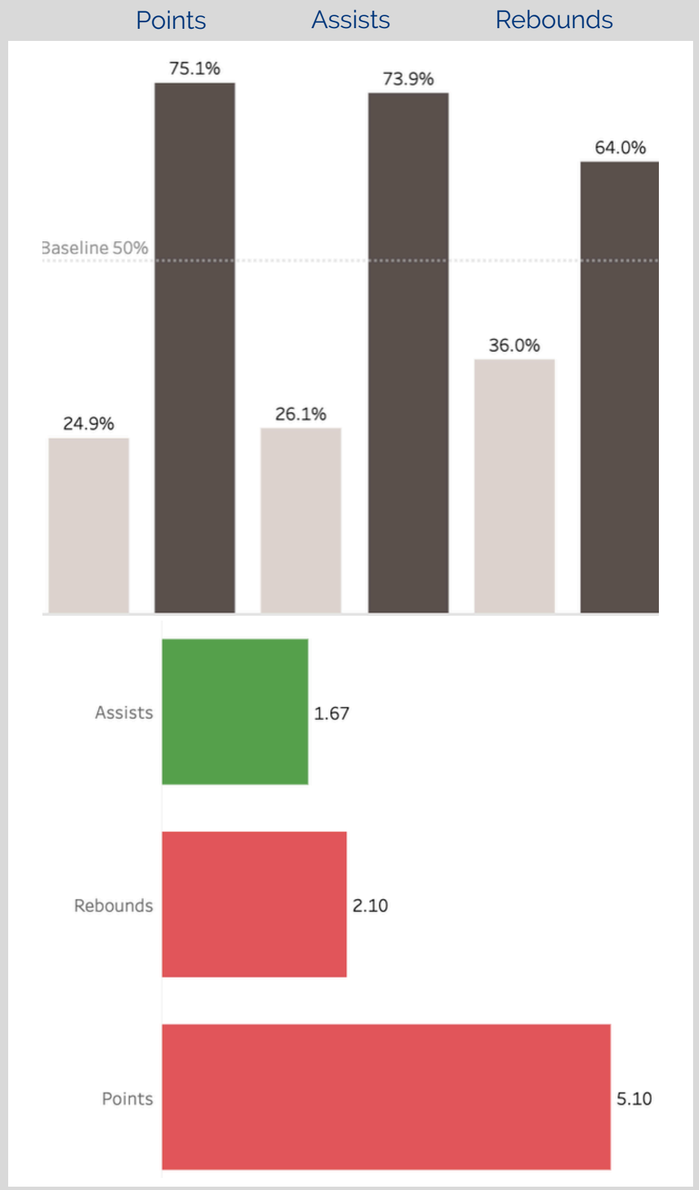
The aggregate model missed the -110 sportsbook break-even threshold (52.4%). Isolating the Rebounds prop revealed a highly profitable 55.15% sub-market. Live scaling is paused to allow expanded retrograde validation before committing capital.



GATE 2: THE DIRECTIONAL BIAS FLAW

- **Structural Bias:** The model over-indexes on “More” (64%–75% bias), ignoring playoff volatility like blowouts and foul trouble.

- **Mean Absolute Error (MAE):** Points showed high variance (5.10 MAE), exceeding the 4.50 benchmark. Rebounds had error (2.10 MAE) but drove the highest profitability



ROADMAP & NEXT STEPS

- **Global Pause & Recalibration:** Halt live deployment. The directional bias toward “More” fundamentally affects the core algorithm. We must integrate playoff-specific variables such as pace adjustments, defensive rating matchups, and minute-reduction thresholds to recalibrate all three categories before scaling.

- **Phase 1.5 Validation (Expanded Backtest):** Subject the recalibrated algorithm to a 1,000-play retrograde backtest. We must mathematically validate that the initial 55.15% edge in Rebounds is a structural advantage, not a byproduct of small-sample playoff variance.

- **Post-Validation Analysis:** Upon completion of the 1,000-play backtest, evaluate the updated MAE and win rates to extract further strategic insights. This analysis will dictate the final, data-driven deployment strategy for each individual category.